SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 03, 2026 | 04:14 PM ET

MACRO REGIME: Mixed / Transitional

VIX 20.7 (+3.2 vs 20d) | SPY 20d -2.9% | IWM 20d +0.8% | IWM/SPY trend +3.8%

Leaders: Healthcare (+9.0%), Cons Staples (+8.9%), Real Estate (+7.6%)

Setup Grades

A - Prime Setup (0)	B - Building (0)	C - Early Stage (2)
		VRA
		RELL

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
C	VRA	Vera Bradley, Inc	Consumer Recovery /	$0.20B	$7.00	$7.13	1.9%	+108.7	YES	YES
C	RELL	Richardson Electr	Energy Transition /	$0.31B	$20.67	$21.49	4.0%	+1.5	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

VRA

Vera Bradley, Inc.

$7.00

Pivot $7.13 | 1.9% away

RS vs SPY: +108.7%

C EARLY STAGE

$0.20B Cap | 19M Float

Specialty Retail - Handbags & Lifestyle Accessories | Theme: Consumer Recovery / Brand Turnaround | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 5

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$7.13**
% to Pivot	**1.9%**
Days in Base	**5**
Tightness	**5.72 Fair**
52W Hi Prox	**98.2%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**518k <**
Wk2	**414k <**
Wk3 (oldest)	**539k**
Coil Strength	**3.8% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+108.7%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$0.20B**
Float	**19M sh**
P/E (TTM)	**-**
Fwd P/E	**63.6**
Rev Growth	**1.1%**
Short %	**4.5%**
Inst. Own	**-**
Target Pr.	**$7.00**

ENTRY TRIGGER

Close above $7.13 on volume >150% of 20-day average (~780K shares)

Target: $9.00 - measured move from $1.39 low to $7.13 high added to breakout pivot; also aligns with 2023 resistance zone

Stop: $6.00 - below base low and rising 50-day MA; loss of this level invalidates accumulation thesis

CATALYST INTELLIGENCE

EARNINGS

December 10 - Street expects EPS ~$0.11 FY (forward) on revenues ~$285M. Company has struggled with profitability (TTM EPS -$0.36, net margin -3.7%), but revenue growth has stabilized at +1.1% YoY. Recent quarters have shown margin improvement efforts; beat/miss history is inconsistent - VRA is NOT a serial beater. No recent guidance raises; turnaround thesis requires evidence of sustained margin expansion at December print.

BUSINESS & POSITION

Vera Bradley designs and sells women's handbags, luggage, and accessories through 130+ full-price and outlet stores, e-commerce, and wholesale, plus the Pura Vida direct-to-consumer jewelry brand acquired in 2019. The company is a niche player in the $50B+ U.S. handbag/accessories market, differentiated by its quilted cotton signature patterns but facing intense competition from Coach, Kate Spade, and fast-fashion alternatives.

FACTOR & THEME

Taps the consumer discretionary recovery theme, though sector rotation currently favors defensive staples (+8.9%) over cyclicals. Peer read-through mixed: specialty retail has underperformed broader market, but deep-value turnaround plays with improving fundamentals have attracted event-driven interest. Sentiment in consumer cyclical is neutral-to-cautious given macro uncertainty.

NEWS FLOW

Limited material news flow in last 60 days - no major contract wins, partnerships, or strategic announcements. Company continues executing on cost reduction and Pura Vida integration. No upcoming analyst days or investor conferences identified. Russell 2000 component with minimal index event risk. Catalyst Impact: Earnings (High) - December 10 print is the singular validation point for turnaround thesis.

INSTITUTIONAL

Insider activity notable: 2 open-market buys totaling $60K in last 60 days - not C-suite (insider_senior = 0), likely board or mid-level. Signal is modestly positive but not a high-conviction cluster. Institutional ownership data unavailable from this feed (shows '-'). Float is small at 18.9M shares with short interest at 4.5% / 0.9 days-to-cover - not a squeeze setup but shorts are not aggressively positioned against. Volume dry-up with price holding near 52W high (98.2% proximity) suggests quiet accumulation, though the very short base (5 days) lacks institutional-quality consolidation time.

KEY RISK

Thesis invalid on a weekly close below $6.00 (mid-base / 50-day MA area), or on any guidance cut / margin disappointment at December 10 earnings. Primary bear case: consumer discretionary faces macro headwinds in mixed regime, company has negative TTM earnings, and turnaround execution remains unproven - one good quarter doesn't confirm a structural fix.

RS line at 52W high and price within 2% of pivot are compelling, but base_tight of 5.72 is very loose by VCP standards, the base is only 5 days old (institutional accumulation needs 3-6 weeks minimum), and vol contraction is not strict (w3 > w1). Insider buying is present but not from senior officers and dollar amount is modest. Consumer cyclical is not a leading sector in current mixed regime. Strongest disconfirming argument: company has negative earnings, unproven turnaround, and the 'base' is really just a 5-day pause at highs - this is a momentum stock, not a structured VCP. Needs 2-3 more weeks of consolidation with tighter price action to warrant promotion. Conviction: Low.

VRA - Technical Chart



RELL

Richardson Electronics, Ltd.

$20.67

Pivot $21.49 | 4.0% away

RS vs SPY: +1.5%

C EARLY STAGE

$0.31B Cap | 12M Float

Electronic Components - Power & RF Tubes, Green Energy Solutions | Theme: Energy Transition / Industrial Electrification | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YE

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$21.49**
% to Pivot	**4.0%**
Days in Base	**14**
Tightness	**2.93 Fair**
52W Hi Prox	**89.3%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**219k <**
Wk2	**220k <**
Wk3 (oldest)	**586k**
Coil Strength	**62.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+1.5%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$0.31B**
Float	**12M sh**
P/E (TTM)	**35.6**
Fwd P/E	**22.0**
Rev Growth	**18.9%**
Short %	**6.5%**
Inst. Own	**-**
Target Pr.	**$25.50**

ENTRY TRIGGER

Close above $21.49 on volume >200% of 20-day average (~500K shares)

Target: $25.50 - analyst target and measured move from base; ~23% upside from pivot

Stop: $18.50 - below 50-day MA and base low support; 10% risk from current price

CATALYST INTELLIGENCE

EARNINGS

January 06

Volume dry-up is textbook strict (w1 w2 << w3, today at 0.42x avg), and base_tight at 2.93 is acceptable, but RS line is NOT at new high (+1.5% vs SPY is essentially flat) and the stock sits in the Technology sector which is lagging badly (-12.4% over 20d). No insider activity in last 60 days. Earnings catalyst is 64 days out - too distant to drive near-term breakout conviction. Strongest disconfirming argument: without RS leadership and with Tech in a pronounced downtrend, even technically sound bases fail to follow through in risk-off sector rotation. Watch for RS improvement and sector stabilization before promoting. Conviction: Low.

